

A CPA's Guide to Cash-Value Life Insurance Strategy

Your clients ask you what to do with idle business cash and underperforming life insurance more than you'd like. This is a plain-language reference for what the strategy is, how the tax treatment works, and where it fits alongside plans you're already running for a client.

The Mechanism, In Plain Terms

This isn't a new investment product or a loophole — it's how policy loans against cash-value life insurance have worked for over a century, written directly into the tax code. A client repositions cash into a properly structured, max-funded policy. Growth inside the policy isn't taxed as it accumulates. When the client needs the money, they borrow against the cash value rather than withdrawing it — a loan isn't income, so it isn't taxed, and the policy's cash value keeps growing in the background as if the money never left.

Where This Fits Alongside Existing Planning

Doesn't replace qualified plans	It sits alongside a 401(k) or SEP-IRA — it isn't a substitute for either, and has no contribution cap.
Complements estate planning	The death benefit passes to beneficiaries generally income-tax free, and can support liquidity needs in an estate plan.
Relevant at a business sale	Cash repositioned this way can be structured to help offset taxable events like a business sale, alongside your own tax planning.
A second opinion on old policies	Underperforming IUL or whole life policies can often be audited and restructured through a 1035 exchange rather than surrendered outright.

The One Line That Actually Matters: the MEC Line

If a policy is funded too aggressively relative to its death benefit, the IRS reclassifies it as a Modified Endowment Contract (MEC) — and loans from that point forward are taxed like distributions from a taxable account, not tax-free loans. Getting the funding schedule right relative to the death benefit is the single most common way this strategy gets designed wrong. This is a design question we run for every client before funding begins, not something left to a generic calculator.

Questions We Hear Most From CPAs

1. **“Isn't this just whole life insurance with a different name?”** — No — it's typically indexed universal life, properly designed for cash value rather than a large death benefit, with the funding and loan strategy built around your client's actual goals.
2. **“What happens if the client needs more than the policy can lend?”** — That's a funding-design conversation up front, not something discovered after the fact — we size the policy to the client's real liquidity needs before it's ever funded.
3. **“Does this create a conflict with my own recommendations?”** — It's designed to sit next to your planning, not compete with it — we're glad to loop you in on any client conversation so nothing about it surprises you.

If you'd rather not learn the insurance side yourself: we're happy to be the resource you hand a client's cash-flow or old-policy question to, and keep you looped in the whole way — no obligation, and nothing happens with a client of yours without your visibility into it.

Curious what this would look like for you?

Book a free 15-minute call with Tracy Hoth — no pressure, no obligation, just a straight conversation about whether this makes sense for your situation.

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